

Calderwood Partners LLC

www.calderwoodpartners.com

March 22, 2021

Mark Villegas
Chief Financial Officer
Garcia-Werner

Dear Mr. Villegas:

This letter sets down the terms on which our firm will advise Garcia-Werner on the automation of its back-office operations, and it becomes our agreement at the moment you countersign the enclosed copy and return it to me. I have written it out at some length and in plain terms, in the belief that an engagement of this kind proceeds more surely when both sides have read one account of it before any work is begun, and that the understanding reached now, on paper, is worth a good deal more than the goodwill we would otherwise be left to fall back on later. I would ask you to weigh what follows against your own sense of the assignment, and to tell me of any point on which the two do not sit easily together before you put your name to it.

The Work We Have Agreed to Undertake

The assignment is the automation of the routine, high-volume work that runs through the finance and administrative back office at Garcia-Werner: the invoice handling, the account reconciliations, the recurring closing tasks, and the reports that at present consume more of your people's time than the judgment they actually contain would warrant. We will begin by setting down a faithful account of how that work is done today, following each process from the point at which it starts to the point at which it ends, marking the places where a task is carried by a person only because it always has been, and separating the steps that genuinely call for judgment from those that a rule could carry as well or better. From that account we will identify the processes whose automation would repay the effort soonest, set out how each of them might be redesigned, and work alongside your team toward a sequence of changes it is able to adopt and to maintain once we have gone. Where a candidate for automation carries a cost or a risk alongside its saving, we will say so plainly rather than present the saving on its own.

It is worth being equally clear about where the work stops. This is a diagnosis of how Garcia-Werner runs its back office and a design for automating the parts of it

that should be automated; it is neither the building and installation of the software that would carry those designs nor a reduction of your staff, both of which remain yours to decide and to lead unless we later agree, in writing, a separate engagement covering them. Should the scope need to change once we are under way, whether because you ask it or because the work brings to light something that neither of us can yet foresee, we will describe the change and settle its terms with you before we act on it.

The People Who Will Carry It

I will hold this engagement for the firm and answer for what we deliver under it, while the day-to-day work is carried by two of our research associates. Pamela Miller will run the examination of your current processes and the checking of every figure and claim on which the design comes to rest, so that nothing we put in front of you leans on a number we have not traced back to its source. Matthew Parrish will assemble the outside reference points, the measures of how comparable finance functions are run and at what cost, against which we can judge whether a given process at Garcia-Werner is handled well or merely handled as it always has been. You will work with a small and settled team, and the people whose names stand on our analysis will be the people who have done it.

Fees and Payment

Our fee for this engagement is a fixed fee of \$33,500, which covers the work described above together with the meetings, correspondence, and interim materials that ordinarily accompany it, and which does not extend to work we might later agree to add, such as the building or installation of the automation itself, that we would scope and price with you separately before beginning. We will render invoices against the fee at regular intervals as the work proceeds, and each invoice falls due within thirty days of its date. I have set the figure here, in the body of the letter, so that you are able to weigh it directly against the work it is meant to buy.

Term and Termination

The engagement will commence on April 1, 2021 and is scoped to run for approximately four months, that being the period over which we have planned the diagnosis and the design work, though I will tell you early if the assignment proves to want more time than that or less. Either of us may bring it to an end on reasonable written notice to the other. Should you choose to end it, you will owe our fee earned to the date of termination together with any costs properly incurred to that point and nothing beyond; should we do so, which we would undertake only for a reason our professional standards require of us, we will return any part of the fee

that answers to work not yet performed and will help hand the assignment over in an orderly way.

Confidentiality

We will treat the information you place in our hands, together with the fact and the substance of this engagement, as confidential, and we will use what you disclose to us solely for the work you have retained us to perform. We ask the same of Garcia-Werner in respect of the methods and materials we bring to the assignment. These obligations will outlast the completion or the termination of the engagement, and neither of us will disclose the other's confidential information except so far as the law or a proper regulatory authority compels, and then, where we are able, on notice to the other.

Limitation of Liability

We will perform this engagement with the care and skill our profession expects, and our advice will represent our considered judgment on the information available to us. We do not, however, warrant a particular commercial result, since the time and cost that automation can save depend in large part on decisions and actions that will lie with your organization once the design is in its hands rather than with ours. Our aggregate liability to you arising out of or in connection with this engagement will be limited to the fee actually paid to us under it, save where the law does not permit such a limit, and neither of us will be liable to the other for indirect or consequential loss.

Governing Law

This letter, together with the signature page that accompanies it, constitutes the entire agreement between us in respect of this engagement, supersedes any prior discussion or understanding, and may be varied only by a writing signed by both of us. It will be governed by and construed in accordance with the law of the state in which our firm maintains its principal office, and each of us submits to the courts of that state in respect of any dispute arising under it.

If the terms set out above match your understanding of the assignment, I would ask you to sign and date the enclosed copy and return it to me, upon which we will confirm the commencement and begin. If any part of it warrants a conversation first, tell me and I will make the time this week to talk it through before you sign. I am Julie Ramsey, and I look forward to working with you and your people at Garcia-Werner.

Sincerely,

Julie Ramsey

Managing Principal

Date: March 22, 2021

Mark Villegas

Chief Financial Officer, Garcia-Werner

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